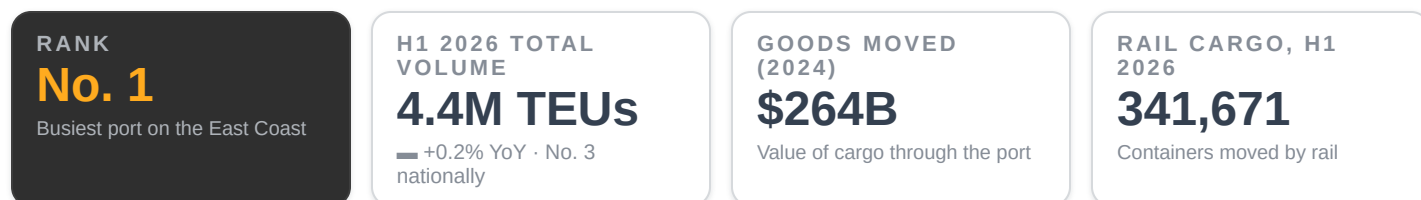


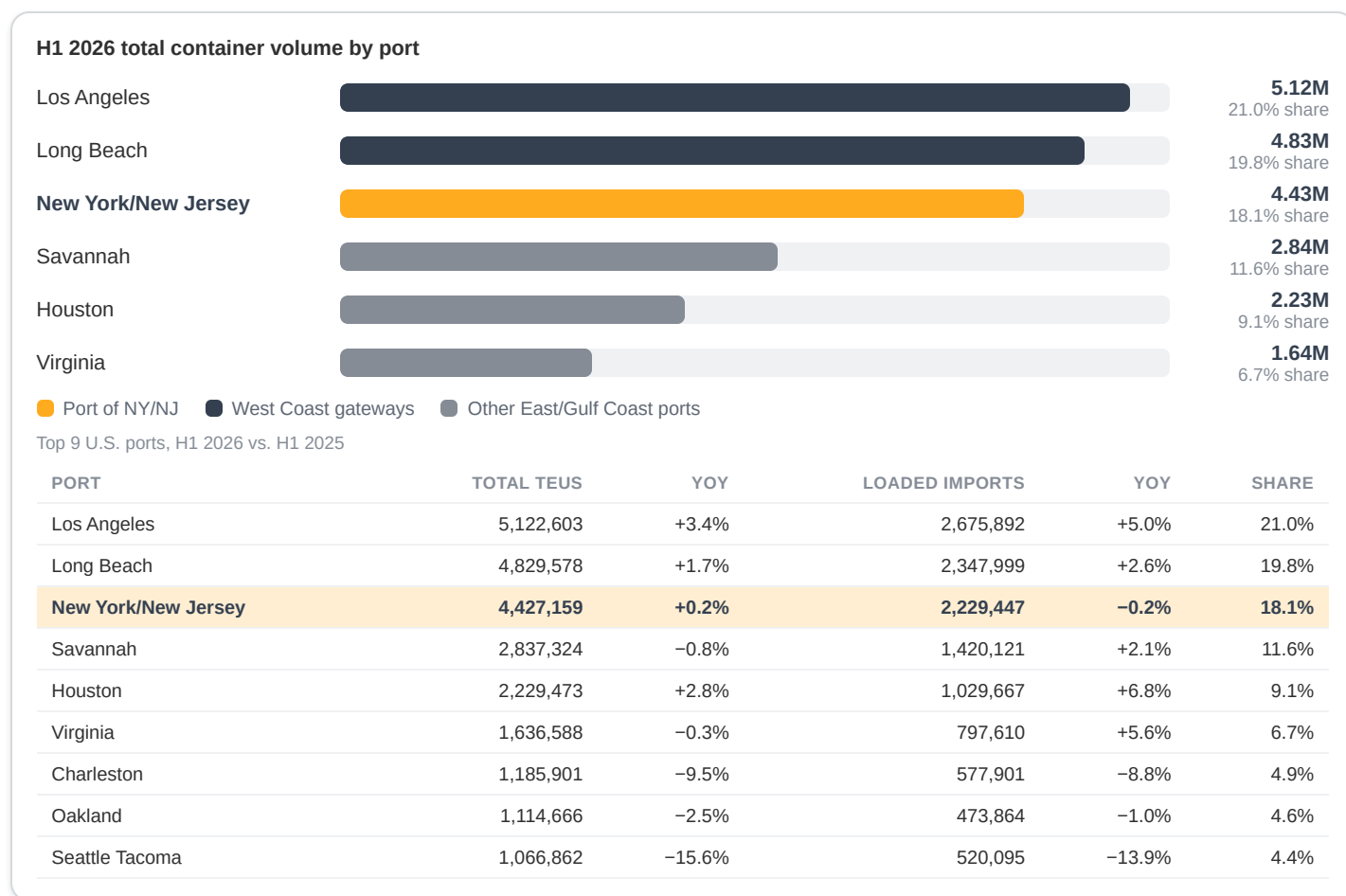
Port of NY/NJ | Why it anchors the Shallow Bay thesis

H1 2026 volume confirms the port's scale as the East Coast's leading gateway — the demand engine behind Faropoint's infill, shallow-bay industrial strategy in Northern New Jersey. Source: Cushman & Wakefield, *H1 2026 Port of New York & New Jersey Report*.



A top-3 gateway, gaining loaded import share

Port of NY/NJ is 1 of only 3 U.S. ports to post more than 2.0M TEUs of loaded import cargo in H1 2026 — and holds 18.1% of top-nine-port volume.



Diverse, durable trade base. The port serves more than 60 million consumers within a 250-mile radius — roughly one-third of U.S. GDP — via a diversified partner base (China, India, Italy, Germany, France) that mitigates any single-lane disruption. The Port Authority is investing to sustain this scale: a U.S. Army Corps of Engineers agreement to evaluate deepening channels to 55 feet, plus a redevelopment of the Newark-Elizabeth complex's northern entrance.

Port Region | Where port volume becomes real estate demand

The Port Region is the largest industrial submarket in Northern New Jersey — and the clearest illustration of why infill, shallow-bay space commands a premium closest to the port.

PORT REGION INVENTORY

84.1 msf

Largest warehouse submarket in Northern NJ

H1 2026 LEASING

1.9 msf

▲ +9.8% YoY

VACANCY RATE

12.5%

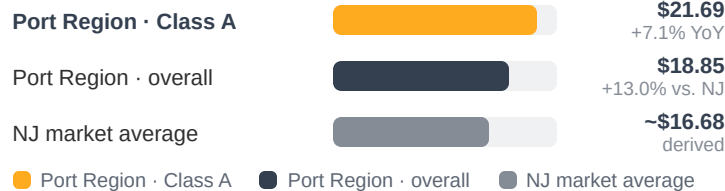
▲ +110 bps QoQ · new supply-driven

PORT REGION ASKING RENT

\$18.85/SF

Highest in New Jersey — 13.0% above market

Asking rent hierarchy, Port Region vs. NJ



NJ market average of ~\$16.68/SF is derived from the stated 13.0% Port Region premium. Class A rent +7.1% YoY despite rising overall vacancy — modern, well-located space keeps pricing power.

Notable H1 2026 leasing

Ready Warehousing & Logistics — 92,000 SF new lease, 100 Lincoln Highway, Kearny

iCube Global — +78,142 SF expansion, 169 Pulaski St, Bayonne (adds to a 255,069 SF 2025 lease)

HelloFresh — 352,100 SF renewal, 60 Lister Ave, Newark

YTD renewal volume: **832,008 SF**, +24.5% YoY

Why shallow bay is insulated from the supply wave

1 Port scale holds

4.4M TEUs, #1 East Coast gateway, rising trucking costs push tenants to prioritize drayage-efficient, near-port locations.

2 Big-box supply overshoots

Nearly 1.0 msf of new vacant space (large-format deliveries) pushed Port Region vacancy up 110 bps to 12.5% in Q2.

3 Demand for space stays real

Leasing still up 9.8% YoY and Class A rent up 7.1% — the vacancy rise is a supply story, not a demand story.

4 Shallow bay can't be overbuilt

Small-bay product (<100K SF) runs ~4.8% vacant nationally — infill land scarcity caps new supply where big-box cannot.

Step 4 national small-bay vacancy benchmark: CBRE / Cushman & Wakefield industrial research, distinct from the Port Region figures above (which blend all warehouse sizes).

Faropoint's position on the ground

- \$328M** Jul 2025 · NJ, GA, FL, TX, PA
Acquired a 30-building, 1.8M SF shallow-bay portfolio from Mapletree.
- 79,000 SF** Rockaway & Morris County, NJ
Grew the Morris County shallow-bay footprint via a JLL-brokered acquisition from NJDG.
- ~\$17M** Bergen County, NJ
Joint-venture acquisition of roughly 73,000 SF of shallow-bay industrial space.
- \$273M** Jan 2026 — Portfolio financing
Secured a refinance loan against the shallow-bay portfolio.

Sources: Cushman & Wakefield *H1 2026 Port of New York & New Jersey Report*; CBRE / Cushman & Wakefield national small-bay research; GlobeSt, Real Estate NJ, ConnectCRE, NJBIZ, Small Bay List, CompStak.